

Chapter 4: Supply, Demand, and Market Equilibrium

Grade 11 Economics · Unit 2: Market Behaviour

4.1 The Law of Demand

The law of demand states that, all else being equal, as the price of a good or service rises, the quantity demanded by consumers falls, and conversely, as the price falls, the quantity demanded rises. This inverse relationship arises because higher prices reduce the purchasing power of consumers and make substitute goods relatively more attractive, while lower prices have the opposite effect, encouraging consumers to buy more of the good in question and potentially substitute away from other options.

This relationship is typically represented visually using a demand curve, which slopes downward from left to right when price is plotted on the vertical axis and quantity demanded on the horizontal axis. It is important to distinguish between a change in quantity demanded, which refers to movement along the curve caused by a price change, and a change in demand itself, which refers to a shift of the entire curve caused by factors other than price, such as consumer income, tastes, or the prices of related goods.

4.2 The Law of Supply

The law of supply describes the opposite relationship from the consumer's side of the market: as the price of a good rises, producers are generally willing to supply more of it, and as the price falls, producers supply less. This occurs because higher prices make production more profitable at the margin, incentivizing existing producers to increase output and potentially drawing new producers into the market, whereas lower prices reduce or eliminate that incentive. The supply curve, as a result, slopes upward from left to right on the same price-quantity axes used for demand.

- A rightward shift in the supply curve can result from lower input costs, improved technology, or an increase in the number of producers.
- A leftward shift in the demand curve can result from falling consumer income, changing tastes, or the introduction of a cheaper substitute.
- Equilibrium occurs where the supply and demand curves intersect, setting both the market price and quantity.

4.3 Reaching Market Equilibrium

Market equilibrium occurs at the price and quantity where the amount consumers are willing to buy exactly matches the amount producers are willing to sell, represented graphically by the intersection of the supply and demand curves. If the price is set above this equilibrium level, a surplus results, as the quantity supplied exceeds the quantity demanded, placing downward pressure on price. If the price is set below equilibrium, a shortage results, as the quantity demanded exceeds the quantity supplied, placing upward pressure on price, and in either case market forces tend to push the price back toward the equilibrium point over time.

Price (\$)	Quantity demanded	Quantity supplied	Market condition
10	800	200	Shortage
20	600	400	Shortage
30	500	500	Equilibrium
40	350	700	Surplus

Table 4.1 — Sample supply and demand schedule showing the equilibrium point at \$30.

4.4 Why It Matters

Understanding supply and demand is foundational to nearly every area of economic analysis, from predicting how a tax on a good will affect its price and quantity sold, to explaining why prices for seasonal goods fluctuate, to analyzing the effects of government price controls such as minimum wages or rent ceilings. Policymakers, businesses, and consumers all rely, whether explicitly or implicitly, on these concepts to anticipate how markets will respond to changing conditions.